

Recommendation for creating a conducive environment for MSMEs in SE

Usefulness of policy interventions like offset norms and TPCR.

Availability of TPCR and multiplier norms has the potential to improve MSME participation in the defence procurement process, under the provision of defence procurement offset norms. Offsets have increased participation of large integrators in defence procurement and the TPCR has also helped.

TPCR needs to give a realistic vision or roadmap. It should be more focussed on technologies leading to business opportunities and be able to give direction to an industry's R&D efforts.

Understanding offset norms. More clarity is required regarding offset norms, particularly in determining what is local and what is foreign. For example, offset norms emphasise the need to source from domestic vendors instead of supporting domestic manufacturing. So multipliers should not be calculated on the basis of value addition rather it should be done on the billing value of the Indian partner as import content of the Indian partner may exceed 80 per cent and go up to 90 per cent.

Stage-wise calculation of value addition makes it very difficult to calculate how much local value addition is possible. This process needs further study and clarity.

It is currently not possible to meet all component requirements of the manufacturing process through domestic sourcing. Thus, to make it more feasible for domestic companies to participate, there should be clarity on the manufacturing value chain and licences such as SCOMET and procedures to issue such licences should be simplified.

Ensuring participation of MSMEs. There is an urgent need to deal with the losses that MSMEs incur when pitching for defence contracts. Clauses such as no cost no commitment (NCNC) should not be applicable to MSMEs manufacturing in India. Cost of the prototypes must be paid to MSMEs.

Similarly, the study recommends certain indirect financial support to MSMEs. These include lowering the cost of capital, offering an interest subsidy, dealing with issues relating to payment delays, need for securities/guarantees, blockage of funds, etc. The study recommended establishing a mechanism or policy to cover various financial bottlenecks in order to help MSMEs focus on

manufacturing and R&D.

Other recommendations include setting up a development fund for select MSMEs, establishing a smoother procurement process for them to participate in tendering and promoting greater collaboration among MSMEs on projects. Another important recommendation is the need to review investment limits that define MSMEs as given in the MSME Act 2006 and its Amendment needed to be inflation-adjusted.

Procurement. There are a number of recommendations to simplify the procurement process. These relate to identification of Indian offset partners (IOPs) by foreign companies, delay in finalising contracts resulting in technology obsolescence caused by the time lag between tendering and actual procurement, participation of the financial advisor and other decision makers in the procurement process, applicability of same import duties, central excise and sales tax (local taxes) for all vendors, demand for bank guarantees and requirement for detailed drawings from all vendors foreign or domestic, among others. All these issues need to be addressed.

Payment terms. The Indian private sector needs to be treated at par with DPSUs, ordinance factory board (OFB) units and foreign vendors. The private sector should have the same terms for payments and cost comparisons including applicable taxes and foreign exchange variations. Currently, preferential treatment is given to foreign companies. Domestic vendors must also be paid on the same terms applicable to foreign vendors, or through banks, where payments are tied to performance and not delayed due to procedural issues. Delays in payment should attract payment of interest to vendors.

Common ground as DPSUs. Private companies are seeking a level playing field, as is provided to DPSUs. Areas of concern include deals where transfer of technology is negotiated, taxation patterns for DPSUs vis-à-vis private companies, treatment in open tenders and transfer of technology from DRDO.

(Source: ELCINA study on Opportunities and Challenges in Strategic Electronics in Aerospace & Defence Sector with Focus on MSMEs, which was supported by EFY as research partner)

is to develop state-of-the-art technology for designing, developing and upgrading mission-critical systems in defence and civil domains.

R&D labs and institutes of higher learning are restructured with state-of-the-art technology and infrastructure. The primary goal is to cater to the strategic needs of the sector essentially for the indigenisation of products as well as technologies, getting rid of hindrances in terms of unavailability of advanced technology and propel growth in this segment.

Electromagnetic wave applications, intelligent sensors, RFIDs, micro-robotics, intelligent materials, microelectronics systems, micro systems for manufacturing nano-

materials, convergent technologies (nano-bio-info-cogno-socio), deep space and others are some of the newest technologies being promoted.

Defence procurement: Key growth driver

"Today, Ministry of Defence (MoD) aims to create conditions conducive for domestic manufacturers, both public and private, so that they can

play an active role in the SE domain. We are aiming at expediting decision making, as well as simplifying contractual and financial provisions to establish a level playing field for Indian companies to compete with foreign firms," says Rao Inderjit Singh, hon'ble minister of state for planning (independent charge) and minister of state, Ministry of Defence.

Defence procurement in India is

“Many a time, Make in India in defence boils down to replacing entire assembly shops of ToT in DPSUs with joint ventures or private sector assembly shops.”

— Rahul Chaudhry, CEO, TATA Power SED

